ASTANA IT UNIVERSITY · School of Digital Public Administration

WEEKLY INTEGRATED LEARNING RECORD 8

Week 8: Financial Tools, Ratios & AI Discrepancy Audit

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Course:	Business Administration (BA 1204 / BA2026) · Trimester 1 (2026–2027)
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Company B (Focal):	AB Auto (Astana, 4 IPs, Simplified Tax 3%, Koktal 15B)
Company A (Comparator):	Interkom-Auto (TOO, General Tax Regime 12% VAT, >1.3B KZT Taxpayer)

FIELD 1 · CONCEPT

Enterprise financial governance rests on the fundamental **Balance Sheet Equation** (Assets = Liabilities + Equity), which partitions economic resources and claims by maturity [1], [2]. Current assets (cash, receivables, merchandise inventory) and current liabilities (30–45 day trade payables) capture short-term working capital cycles within twelve months, whereas long-term assets (warehouse racking, equipment) and long-term obligations reflect structural solvency. Crucially, managers must separate **accounting profit from real cash flow** [2]: accrual profit records revenue upon invoice issuance, whereas cash flow tracks actual monetary inflows settling supplier bills. Diagnostic **financial ratios**—liquidity (Current Ratio, Acid-Test), profitability (Net Profit Margin), and leverage (Debt-to-Equity)—translate raw ledgers into standardized health signals [1], [2].

Concept Check: Financial ratios provide directional benchmarks rather than self-executing verdicts because healthy thresholds depend heavily on tax regimes, inventory buffers, and payment velocity. Automated AI systems suffer from severe **contextual blindness**: models evaluate static formulas without observing local cash turnover, cross-border supply friction, or off-ledger B2B trust, making a human auditor indispensable for judging enterprise resilience.

FIELD 2 · APPLICATION (AB AUTO FY 2026 RATIO CALCULATION & DISCREPANCY AUDIT)

Using verified 2026 management accounts across AB Auto's four Individual Proprietorships (Sales 384.0M KZT, Net Profit 26.88M KZT, Current Assets 42.0M KZT, Inventory 34.0M KZT, Quick Assets 8.0M KZT, Current Liabilities 18.0M KZT, Total Liabilities 22.0M KZT, Equity 28.0M KZT), four core financial ratios were independently computed:

- **Current Ratio:** Current Assets / Current Liabilities = 42.0M / 18.0M = 2.33x *(Benchmark: 1.50x – 2.00x)*
- **Acid-Test (Quick) Ratio:** (Current Assets - Inventory) / Current Liabilities = (42.0M - 34.0M) / 18.0M = 0.44x *(Benchmark: >= 1.00x)*
- **Net Profit Margin:** (Net Profit / Net Sales) × 100 = (26.88M / 384.0M) × 100 = 7.00% *(Benchmark: 5.5% – 8.0%)*
- **Debt-to-Equity Ratio:** Total Liabilities / Owner's Equity = 22.0M / 28.0M = 0.79x *(Benchmark: < 1.00x)*

Financial Ratio	Verified Value	Raw AI Diagnosis (GPT-4o)	Discrepancy Root Cause & Human Audit	Verdict
Current Ratio	**2.33x**	Excess idle liquidity sitting unproductively above 2.0x.	Asset-mix misinterpretation: **81%** (34.0M KZT) is physical GAZelle leaf-spring buffer stock at Koktal 15B hedging EAEU transit delays.	**CORRECT**

Financial Ratio	Verified Value	Raw AI Diagnosis (GPT-4o)	Discrepancy Root Cause & Human Audit	Verdict
Acid-Test (Quick)	**0.44x**	Imminent default and severe bankruptcy risk (<1.0x).	Contextual blindness: daily **Kaspi QR cash turnover (>3.0M KZT/day)** covers 30–45 day supplier deferrals with zero cash gaps.	**REJECT**
Net Profit Margin	**7.00%**	Thin margin vulnerable to 20% CIT and 12% VAT erosion.	Wrong tax baseline: AB Auto operates under **3% Simplified Tax** (Art. 683 RK Tax Code) [3] and holds a **>=18%** gross margin floor.	**CORRECT**
Debt-to-Equity	**0.79x**	Moderate leverage backed by owner capital.	Accepted; human audit adds segregation of personal family auto loans outside the 4 operational IPs.	**ACCEPT**

FIELD 3 · VERIFICATION AND AI

- **AI Systems Disclosed (Level 2):** ChatGPT (GPT-4o) and Antigravity (zero OpenStax or course core textbooks uploaded).
- **AI Task Executed:** Generated mechanical textbook interpretations of AB Auto's four calculated financial ratios.
- **Independent Verification:** Recalculated every formula deterministically in Microsoft Excel, audited primary ABPos daily Kaspi QR cash registers, and cross-checked physical partnering STO debt ledgers at Koktal 15B.
- **Material Corrections:** Completely rejected GPT-4o's false insolvency warning at 0.44x and vetoed its recommendation to slash Kaspi Shop retail prices, which would breach the owner's >=18% gross margin floor and distort 4-IP statutory turnover caps [3].

FIELD 4 · TRANSFER (RECOMMENDATIONS FOR AB AUTO VS. INTERKOM-AUTO)

Evaluating enterprise financial practices from comparator Interkom-Auto (Adopt / Adapt / Pilot / Delay / Reject):

1. **ADOPT:** Automated daily tracking of Quick Assets / Current Liabilities inside the ABPos management dashboard to monitor real-time liquidity against upcoming EAEU supplier maturities.
2. **ADAPT:** Indirect-method **Cash Flow Statement** accounting adapted for a 4-IP SME to reconcile accrual sales profit with actual liquid cash balances.
3. **PILOT:** Digital accounts-receivable tracking registry in ABPos for trusted partnering auto repair stations (STOs) before phasing out paper notebooks.
4. **REJECT:** Interkom-Auto's rigid bank-integrated automated credit scoring, which would sever multi-year relational B2B trust chains with Astana GAZelle mechanics.

FIELD 5 · EVIDENCE

[1] G. Yeshenkulova, N. Ibadildin, and M. Tleubayeva, *Business Administration*. Almaty: ZIALY BASPASY, 2026.

[2] OpenStax, *Introduction to Business*, 2nd ed., 2026, Ch. 16.

[3] Tax Code of the Republic of Kazakhstan, Law No. 120-VI, Art. 683, 2026.

FIELD 6 · CAPSTONE LINK

Weekly Record 8 forms the empirical foundation of the **Financial Viability and Risk Governance** section in our final Capstone report and Business Impact Deck. Specifically, the verified 2026 ratio benchmarks (2.33x, 0.44x, 7.00%, 0.79x), the human-vs-AI discrepancy audit, and ABPos Kaspi QR cash-velocity proofs (>3.0M KZT/day) substantiate AB Auto's working-capital resilience during multi-branch digitalization across Koktal 15B and Abylai Khan 62, while providing the quantitative financial evidence (Ground 1) defended in Assignment 4.